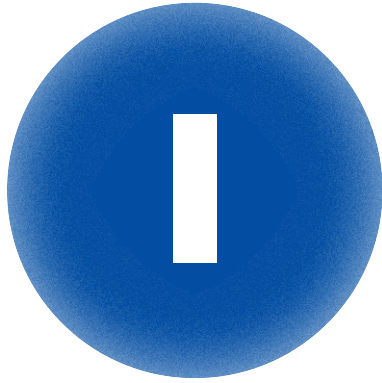




India has an unemployment problem. Its gross domestic product (GDP) growth numbers often mask issues such as quality of employment due to skill shortages. The growth and large-scale expansion of global capability centres (GCCs) in India could be the answer for job seekers.

The beginning of the Indian GCC story can be traced back to the mid-1990s when multinational companies (MNCs) started setting up back offices in India. Few could have predicted the scale and significance they would attain in the next few decades. These have evolved into GCCs that are not just offshore support units for global businesses but doing high-value work for their global parents. The trickle that started in the 1990s has become a wave and made India the GCC capital of the world hosting more than 45-50% of all GCCs, according to EY India.

GCCs in India are driving innovation, shaping products, leading digital transformation and playing a key role in the growth of the economy and India Inc. The country is home to more than 1,800 GCCs, employing 2.1 million professionals, as per a report by Talent 500, a platform that connects talent with opportunities at GCCs. The report said that they have started contributing to the India growth story, as these centres contribute more than 1.5% to India's GDP, with their share expected to grow further in the coming years.

The outlook for the growth of GCCs looks strong considering India's demographic dividend, government policies and a large and skilled talent pool. While demographic dividend could be an advantage, the lack of skilling could be the biggest challenge for GCCs, which have emerged as a strategic powerhouse for global business operations.

INDIA FOR THE WORLD

A GCC, also known as a global in-house centre, is an offshore or nearshore entity fully owned and operated by a parent company. These provide specialised services such as information technology, research and development,

and carry out complex back-office functions. They leverage global talent, cost arbitrage, and operational efficiencies. While meeting with Swiss industry leaders in Switzerland's Bern, Union Commerce, and Industry Minister Piyush Goyal recently said that with close to 2,000 units, India is the preferred centre for GCCs. Skilled Indians serve the research, innovation and design needs of the world. "Capgemini alone has 2,50,000 people in India. Deloitte, EY and PwC have hundreds of thousands of employees. People who meet me have plans to double their manpower in three-four years. I have yet to meet someone who doesn't have plans to double their workforce in India within the next five years. That is a scorching pace of development," Goyal said.

Novo Nordisk Global Business Services (GBS), which currently has 4,500 employees across 17 business functions and represents the entire pharmaceutical value chain, is aiming to expand with an additional 200-300 new positions in 2025.

"India also has a vast, highly skilled workforce with deep domain expertise across core functions such as product supply, quality audits and research, making it a preferred destination for our GCC. With one lakh medical doctors and more than two million STEM graduates leaving Indian universities every year, the scale of the skilled talent is unparalleled globally," says John Dawber, Corporate Vice President and Managing Director, Novo Nordisk GBS.

Post-Covid, many MNCs are adopting a China+1 strategy to reduce the risk of overdependence on any one region. India has emerged as the top beneficiary. Companies